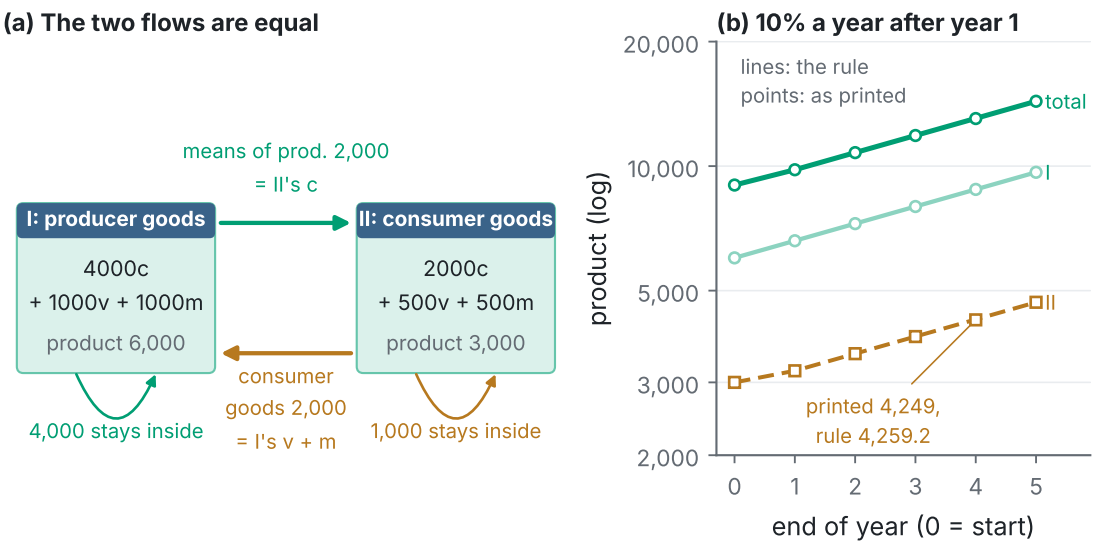
(a) The two flows are equal
means of prod. 2,000
= II's c
I: producer goods
4000c
+ 1000v + 1000m
product 6,000
II: consumer goods
2000c
+ 500v + 500m
product 3,000
consumer
goods 2,000
= I's v + m
4,000 stays inside
1,000 stays inside
(b) 10% a year after year 1
lines: the rule
points: as printed
total
I
II
printed 4,249,
rule 4,259.2
product (log)
20,000
10,000
5,000
3,000
2,000
0
1
2
3
4
5
end of year (0 = start)